

Beyond a 529

Ways to save for your child's future
when college is only one possibility

Maybe your child goes to college. Maybe they get a scholarship, start a business, or need help buying their first home. You can save for them without deciding their entire future today.

A 529 can be useful for education. But if you want money available for other goals, it helps to understand the alternatives. More flexibility usually comes with a tradeoff.

First, separate the account from the investment

A 529 is an account. Stocks, bonds, and funds are investments you might hold inside an account. Moving from a 529 to a brokerage account does not automatically remove market risk. What you own still matters.

1. A brokerage account in your name

You keep ownership and decide when to use the money. You could invest in diversified stock and bond funds, then use the proceeds for college, a business, a home, or another family goal.

The catch: Dividends, interest, and realized gains may create taxes. You give up the special education tax treatment of a 529, and your investments can lose value. [1, 2]

2. A custodial account for your child

An UGMA or UTMA account lets you put assets in your child's name while an adult manages them. It can make sense when you want the money to belong to your child.

The catch: Gifts generally cannot be taken back. Your child gains control at the age required under state law, often 18 or 21. You may not agree with how they spend it. [3]

Growth, access, and control

3. Savings, CDs, and Treasury securities

These can hold money you expect to need sooner, or money you do not want exposed to stock market swings. Choose the product around when you need access.

The catch: They are not all equally accessible or equally protected. CDs can have withdrawal penalties, and Treasury securities sold before maturity can change in value. Inflation can reduce what your money buys. I bonds normally require a 12 month holding period. Cashing them before five years costs the last three months of interest. [2, 4]

4. Paying extra toward a mortgage

Reducing debt saves interest. Once the mortgage is paid off, the payment you used to make can go toward your child's expenses or other goals.

The catch: Home equity is not cash in the bank. To spend it, you usually need to sell or borrow. Extra principal payments generally do not lower your required monthly payment immediately. Taxes, insurance, and maintenance continue even after the mortgage is gone.

5. A rental property

A rental could provide income while you own it and sale proceeds later. Your child might eventually live in it, or you could use the income to help with their expenses.

The catch: Rent is not profit. Repairs, vacancies, taxes, insurance, management, and debt payments all matter. A single property puts a lot of money into one location and one asset. Selling takes time and costs money.

6. Your Roth IRA as a backup

Regular Roth IRA contributions generally come out before earnings and can be withdrawn without income tax or penalty. That can provide some flexibility if you need it.

The catch: Earnings and conversions have different rules. An education exception may remove the early withdrawal penalty on earnings without removing income tax. Money taken out also stops growing for your retirement. Treat this as a backup, rather than assuming your retirement fund is your child's college fund. [5]

Choose around the goal

Option	Who controls it?	Main tradeoff
Brokerage in your name	You	Taxes and market swings
UGMA or UTMA	You initially; child later	The gift belongs to the child
Savings, CDs, Treasuries	You, if in your name	Growth and access limits
Mortgage payoff	You	Equity is hard to spend
Rental property	You, if you own it	Costs, work, and slow access
Your Roth IRA	You	Less money for retirement

You can use more than one option

You might keep some money in a 529 for education and some in your own brokerage account for other goals. Money needed soon could sit in savings or securities chosen to mature when the expense arrives. There is no single split that works for every family.

Before choosing, ask yourself: When might we need this money? Do I want to keep control? Can I handle a drop in value? Are we saving enough for our own retirement?

As the spending date gets closer, review how much risk you are taking. A strong return over many years does not help if the money drops right before tuition is due. [2]

A fair comparison includes the 529

Flexibility alone does not make an alternative better. A 529 can offer tax advantages for qualified education expenses. Compare the taxes, costs, access, and intended use before ruling it out. [1]

Sources

1. SEC: Questions to consider before opening a 529 account
2. SEC: Asset allocation and diversification
3. OCC: UGMA and UTMA accounts
4. TreasuryDirect: Savings bond redemption rules
5. IRS: Publication 590 B, IRA distributions

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